Chip Category Strategic Review

Quantium Retail Analytics | Category Manager Briefing | FY2018–2019

Three Findings. One Clear Direction

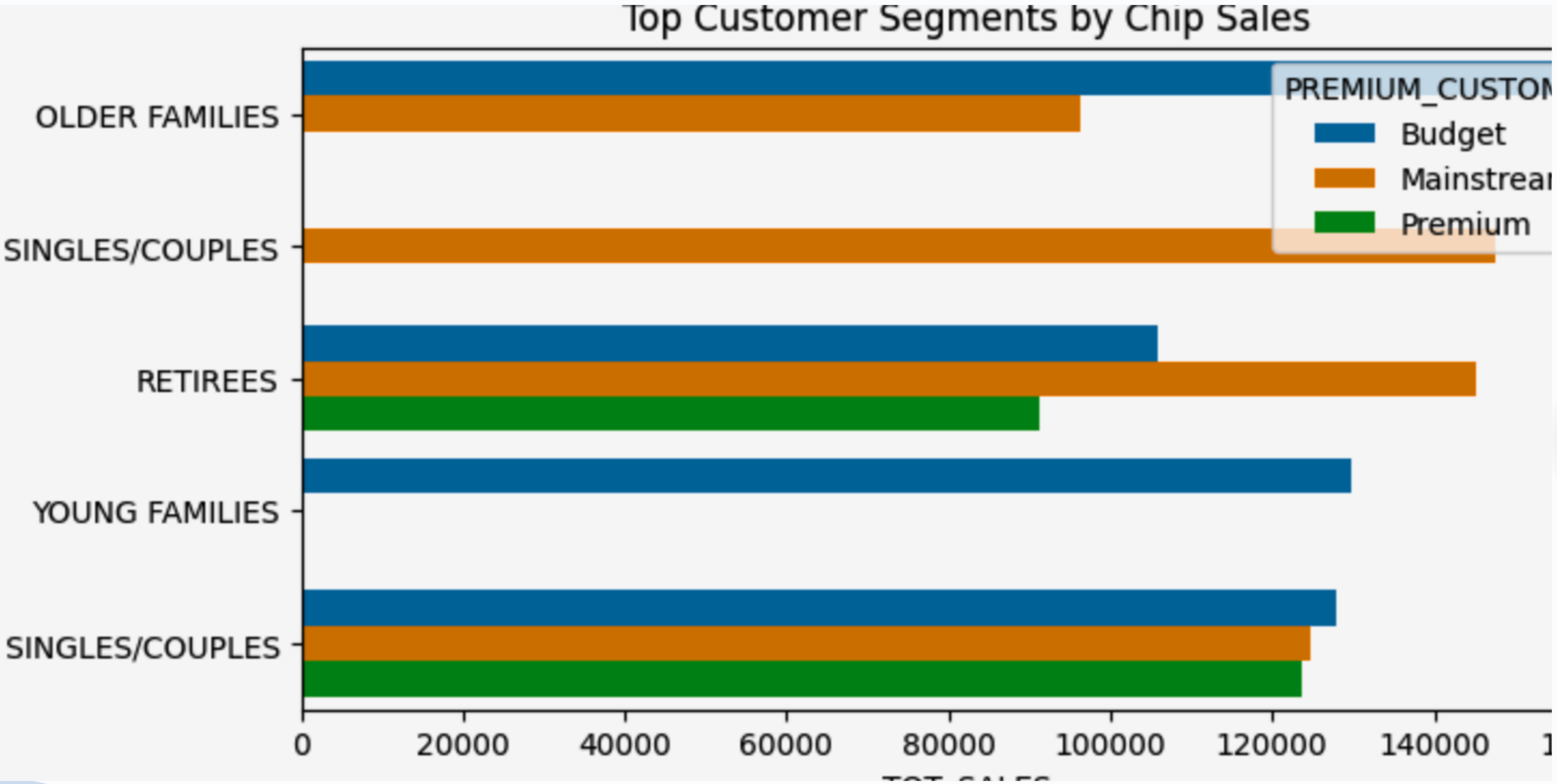
Budget Older Families and Mainstream Young Singles drive the category – not Premium shoppers

Four brands (Kettle, Smiths, Doritos, Pringles) control 53% of revenue in a concentrated market

Trial stores showed real uplift driven by footfall – but results are not yet statistically significant

Invest in key segments, optimise 150–180g shelf, partner with power brands, extend the trial

Budget Families Are the Engine — Not Premium Shoppers



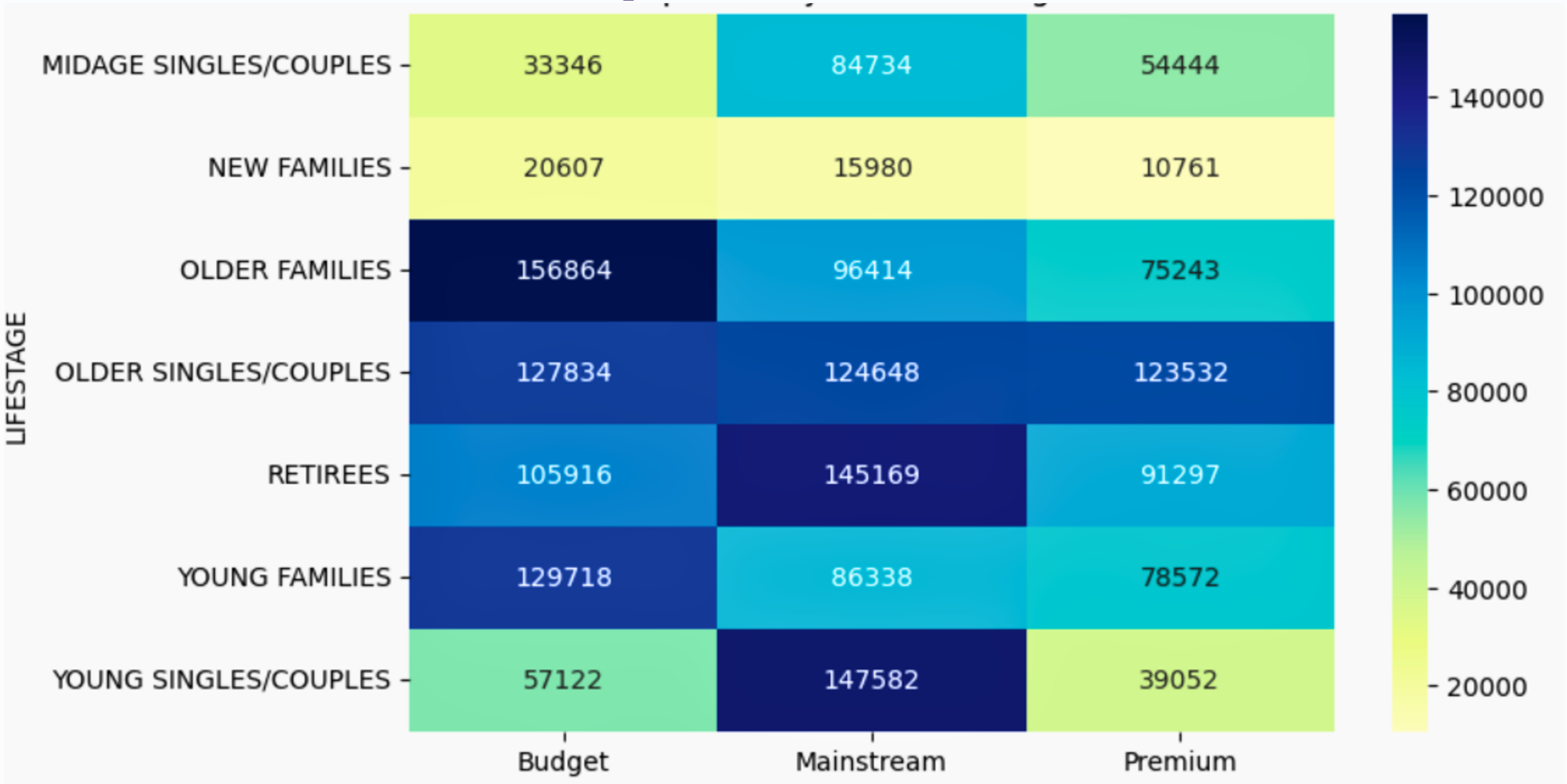
01 Older Families (Budget) = $156,863 in sales and 21,514 transactions — #1 segment, nearly 2× their Premium counterpart ($75K)

02 Young Singles/Couples (Mainstream) rank #2 in both sales ($147K) and transaction count (19,544) — the category's top growth segment

03 Retirees rank #2 in transactions (19,970) but #3 in sales — habitual buyers spending less per visit, not disengaged

New Families sit at the bottom across every metric — the biggest untapped growth opportunity in the category

Older Families Don't Just Buy More – Each One Spends More Too



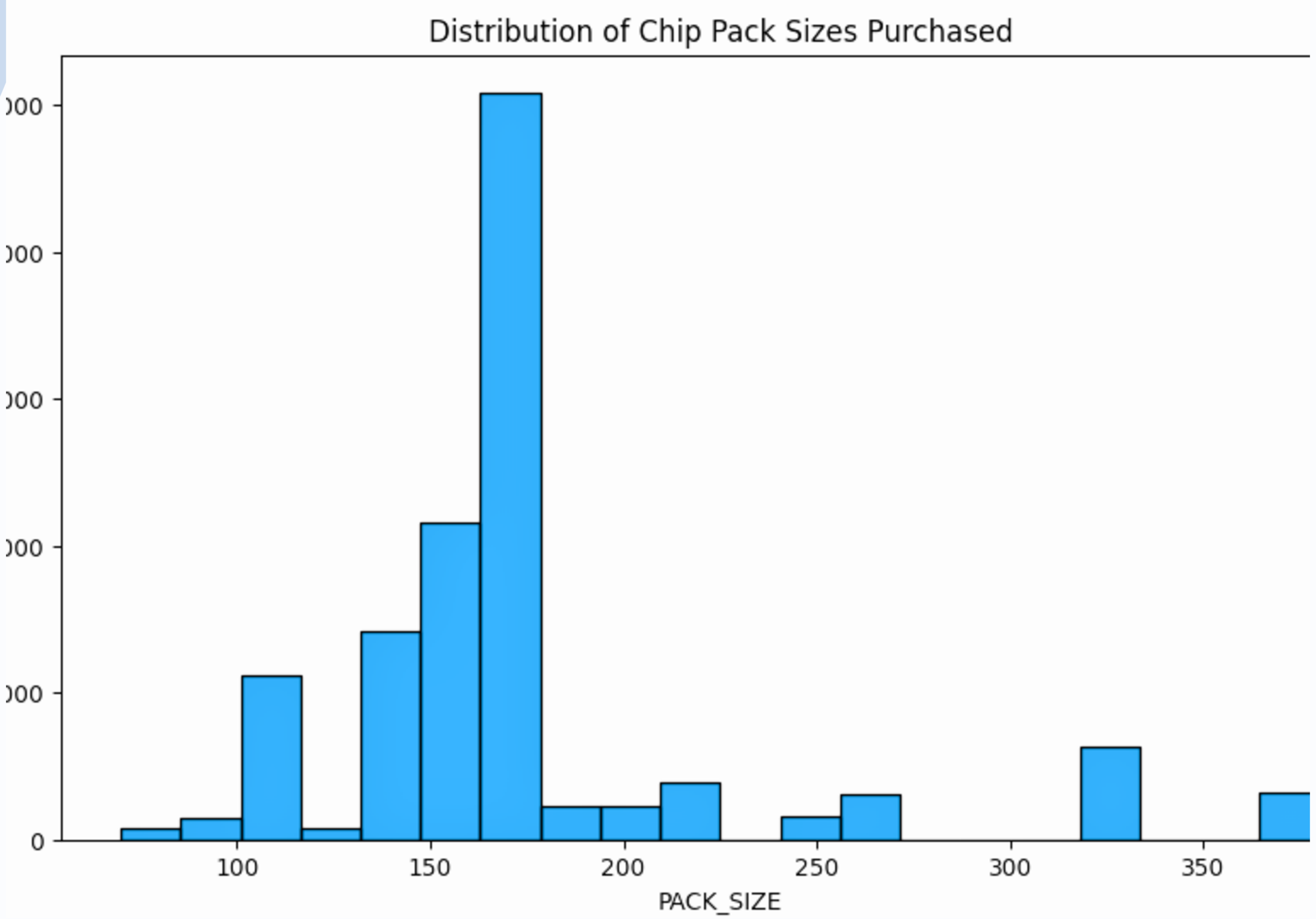
All three tiers of Older Families lead sales per customer: Mainstream $34.58, Budget $34.02, Premium $33.72 – breadth AND depth

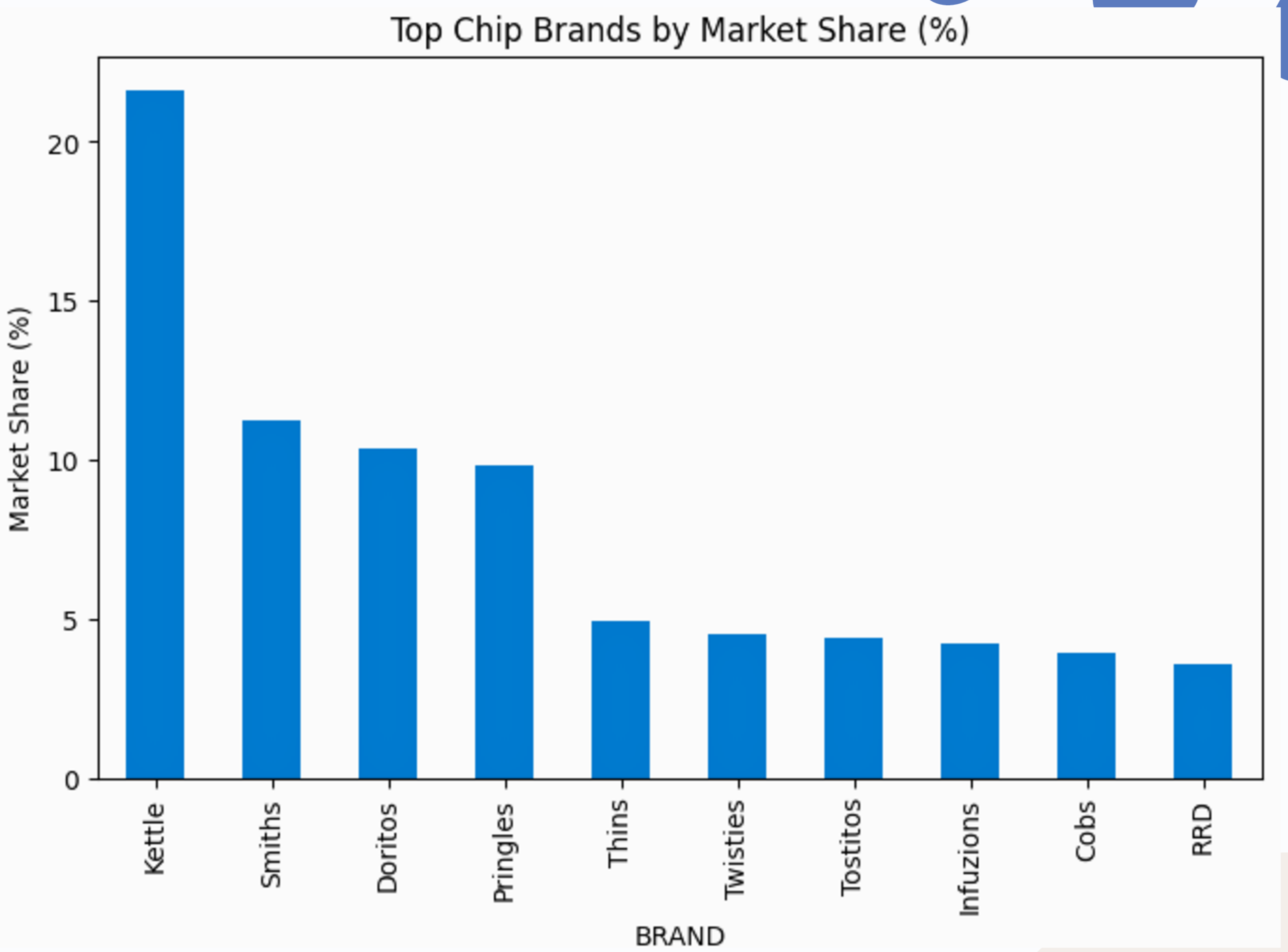
Young Families follow closely at $32–33 per customer across all tiers – a strong secondary cluster of high-value individuals

The gap between the top segment and the bottom is ~$9 per customer – at tens of thousands of customers, this is material

New Families confirm their underperformance here too – lowest individual spend across all tiers

One Pack Size Dominates. Four Brands Own Half the Market





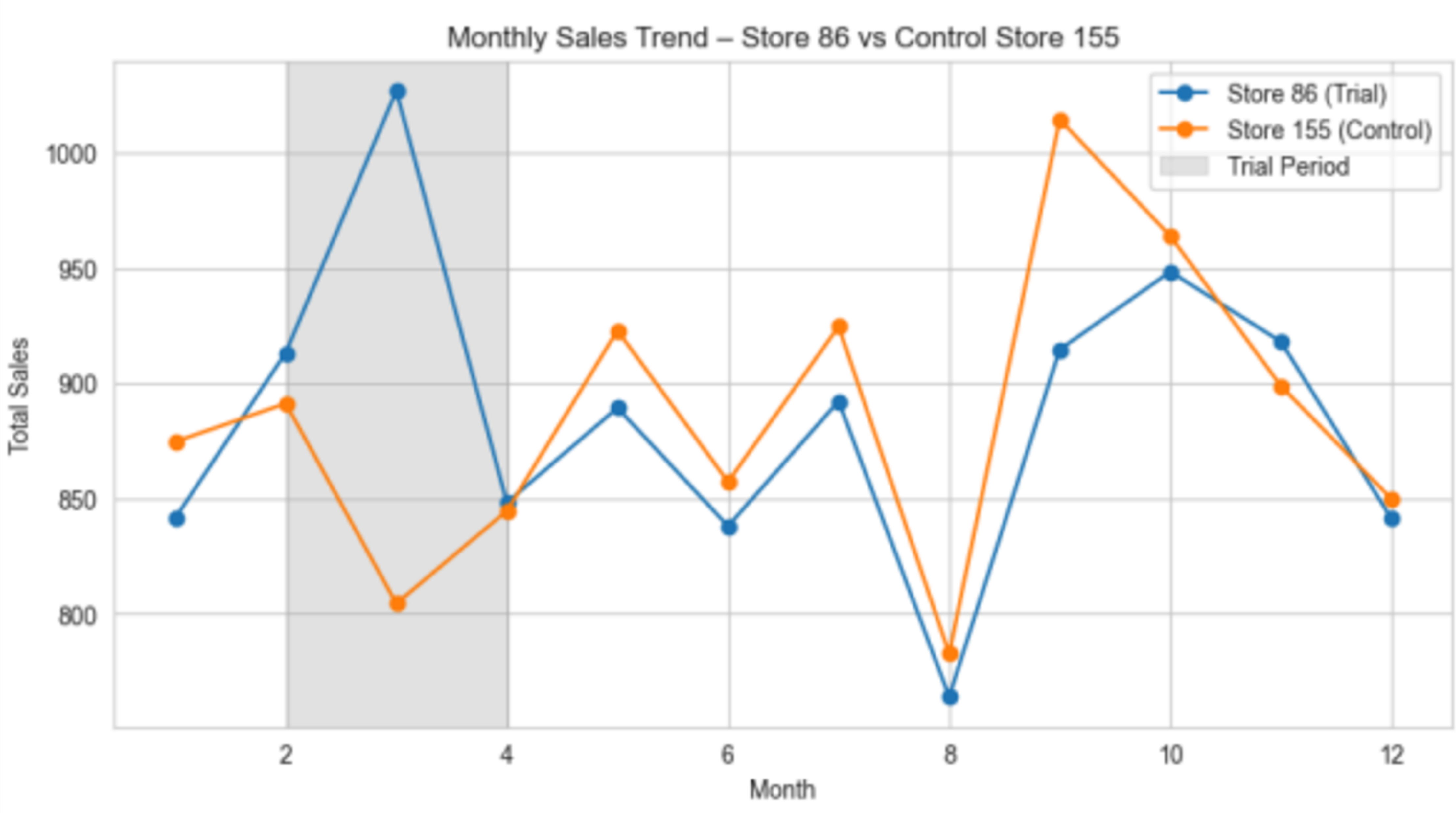
150–180g accounts for the overwhelming majority of purchases across every segment – consumers buy for single occasions, not in bulk; drop-off beyond 200g is sharp

Young Singles/Couples (Mainstream) show the highest average pack preference at 178g – likely sharing occasions, a promotions signal

Kettle leads with 21.6% market share – almost double #2 Smiths (11.2%); Doritos 10.4%, Pringles 9.8%

Top 4 brands combined = 53% of category revenue – a highly concentrated market with clear promotional anchor points

The Layout Brought More People In — But Didn't Change What They Bought



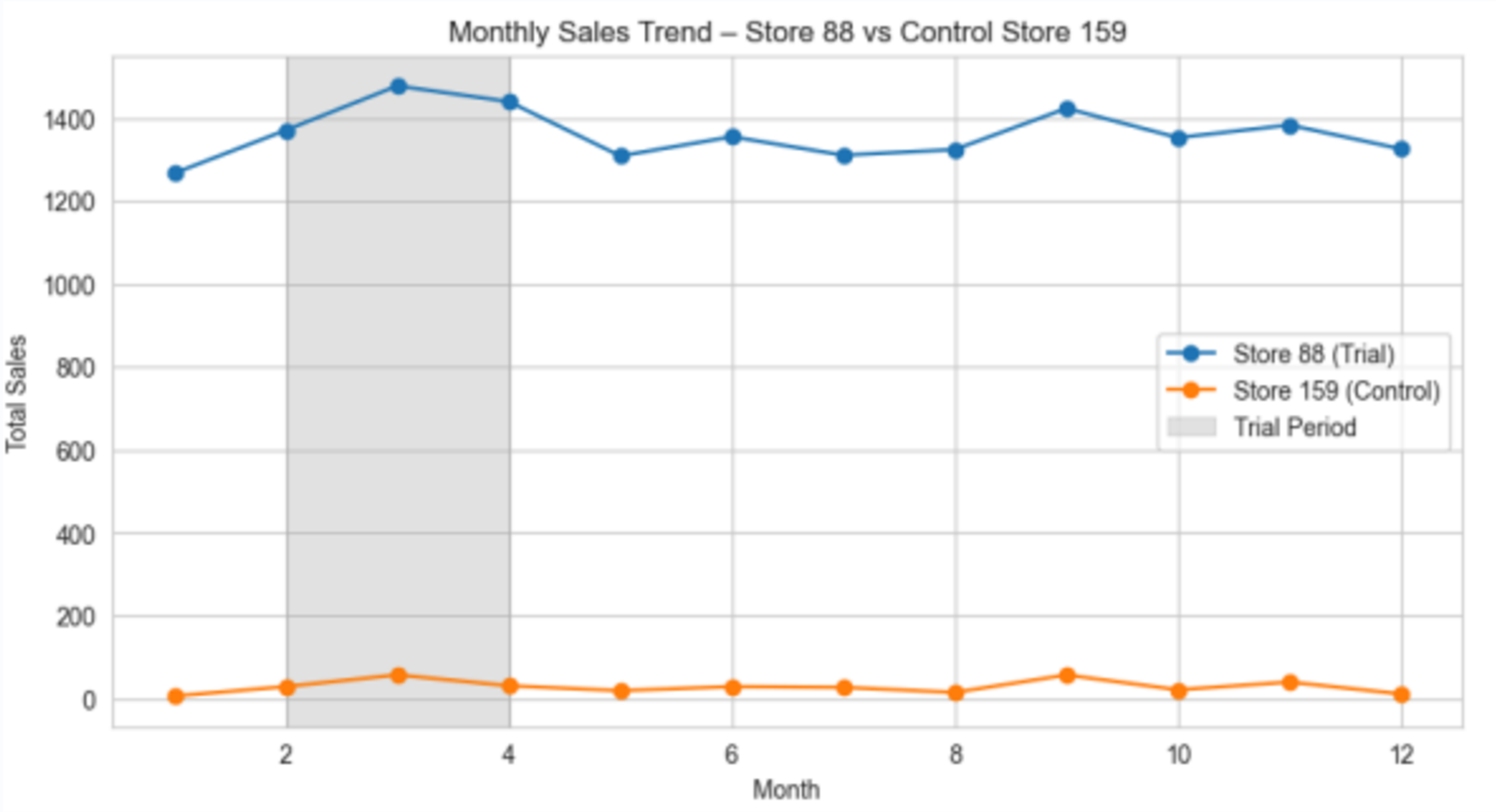
Store 77 delivered +26% uplift vs matched control (r=0.90); uplift accelerated – Feb –5.9%, Mar +36.7%, Apr +62.3%

Store 86 delivered +13% uplift vs matched control (r=0.88); March was the strongest month at +31.6%

In both stores, transactions per customer were virtually identical to the control (1.04 vs 1.05 and 1.24 vs 1.26) – the layout is a footfall driver, not a basket driver

March was the peak month in both stores – customers needed ~1 month to discover the new layout before uplift accelerated

Store 88 Results Are Inconclusive — Control Store Selection Was a Limiting Factor



Store 88 recorded $4,286 in trial period sales across February–April — the highest of all three trial stores by volume

The selected control (Store 159) had pre-trial sales of just $175 vs Store 88's $9,384 — a 53.5× size mismatch that distorts the comparison and produces unreliable uplift figures

Statistical test returned a p-value of 0.258 — the furthest from significance of all three stores, further confirming the comparison is less reliable

Store 237 would have been a stronger control — a better size match that would produce a more meaningful and defensible comparison

Act on What the Data Confirms. Validate What It Cannot Yet Prove

INVEST now in Budget Older Families and Mainstream Young Singles/Couples – $304K in combined sales, highest volume, frequency and per-customer value, backed by clear and consistent data

OPTIMISE shelf for 150–180g and partner with Kettle, Smiths, Doritos and Pringles – 53% of revenue concentrated in 4 brands, single dominant pack size across every segment

DO NOT rollout the new store layout yet – p-values of 0.130 and 0.134 across the two valid stores are directional but not conclusive at the 5% threshold

Re-run the trial with Store 237 as the control for Store 88, extend the observation window to 6+ months, and retest before committing to a full rollout

Thank you!